

DOLES AND TOLLS

Elections can bring on peculiar behavioural modifications even in the most fiscally prudent politician. Rajasthan and Madhya Pradesh, ruled by bitterly opposed parties like the Congress and BJP, could be mirror images of each other in how its chief ministers have rolled out what could count as lavish gift vouchers. Ashok Gehlot and Shivraj Singh Chouhan, both looking at a tough re-election campaign, have not been averse to erring deeply on the side of profligacy with welfare schemes—even though Gehlot, in the last budget of his third tenure, has managed to project a fiscal deficit of 3.98 per cent, under the mandated 4 per cent, while Shivraj is tempting fate at 4.56 per cent even ahead of his budget. Pinarayi Vijayan's Left Front government in Kerala, meanwhile, is struggling to stave off criticism of saddling a rich state with poor public finances. The three case studies, over the next five pages, cover present events that leave many questions for the future. ■

MADHYA PRADESH

FREEBIE SEASON

The monsoon is still one whole summer away, but it's raining sops in Madhya Pradesh. That should not surprise you—look only at what will follow the post-monsoon season. An assembly election that's frequently bundled with the set that's called the semi-finals before the big one. And in February, it feels like harvest time already. Political parties are outdoing each other with promises that occupy the full spectrum from genuine welfare to outright freebies—with land to cash to houses, everything being on offer. A lot of the population is not complaining, since they are in line to be beneficiaries, even if the competitive populism is raising eyebrows among neutral economists and sinking hearts among the slender band of taxpayers.

On January 28, Chief Minister Shivraj Singh Chouhan announced that a 'Ladli Behna' scheme would be unveiled very soon. The architect of the 2007-vintage Ladli Laxmi scheme—under which financial support is promised to girls when they attain maturity, and whose success prompted its adoption by other states—said he had been thinking of doing more for his sisters. Under Ladli Behna, a woman above the age of 18 but not belonging to a family that pays income tax will receive Rs 1,000 per month. Finance department mandarins claim they have not been asked to work out the financial burden of the scheme, but preliminary calculations put the annual outflow at Rs 12,000 crore. Around 12 million women are expected to be covered under the scheme, registrations for which are to start on March 8—Women's Day. The payouts are likely to begin in August, around Rakshabandhan.

The Ladli Laxmi scheme, the precursor to Ladli Behna, had yielded political dividends for Chouhan, nationally showcasing him as a